

Founder Contribution & Equity Guidelines

Sprout Phase Dynamic Equity 1500 qty

This document outlines the key principles for how founder contributions, equity participation, payouts, and revenue sharing are managed within the company.

The purpose of this document is to provide all founders with a transparent and easy-to-understand framework for:

- How contributions are recognized
- How equity participation is calculated
- How payouts and balances work
- How sales contributions are rewarded
- How company growth impacts founder value

1. Founder Contributions

Founder contributions are tracked across projects and company activities.

There are three main types of contribution:

Time Contributions

Time spent working on projects, operations, business development, product building, leadership, or execution.

Examples:

- Product development
- Sales calls
- Strategy work
- Team management
- Client delivery
- Operations

Time contributions are the primary basis for:

- Equity participation
- Founder contribution tracking
- Hour-based payouts

Cash Contributions

Direct financial contributions made toward company operations, project expenses, growth, or investments.

Examples:

- Paying company expenses
- Funding operations
- Purchasing tools or services
- Investment into projects

Other Contributions

Non-time and non-cash contributions that provide strategic or operational value.

Examples:

- Partnerships
 - Introductions
 - Strategic guidance
 - Advisory support
 - Brand or network leverage
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2. How Founder Equity Works

Founder equity participation is based on measurable contributions.

The system primarily considers:

- Time contributed
- Sales contribution impact
- Overall contribution participation

The more meaningful contribution a founder makes toward company growth, the larger their equity participation becomes.

Equity Participation Principles

- Equity is earned through active contribution.
- Contributions are continuously tracked.
- Sales contributions also influence live equity participation.
- Equity visibility is transparent across founders.
- Founder participation evolves as contributions grow.

Basic Equity Calculation

Founder equity is calculated based on contribution participation.

Example

Assume:

- Total Founder Contribution Hours = 1,000 hours
- Founder A = 500 hours
- Founder B = 300 hours
- Founder C = 200 hours

Equity Distribution

Founder	Contribution Hours	Equity %
Founder A	500	50%
Founder B	300	30%
Founder C	200	20%

Formula

Founder Equity % = Founder Contribution / Total Company Contribution

Example:

Founder A = $500 / 1000 = 50\%$

3. Sales Contribution Recognition

Sales and business development efforts are recognized as high-value founder activities.

When founders help generate revenue:

- A percentage of sales value is credited toward founder contribution value.
- Sales participation increases founder contribution standing.
- Sales contribution can improve live equity participation.

Examples of recognized sales activities:

- Closing clients Example: A founder directly closes a ₹12,00,000 annual contract with a client after managing discovery calls, proposal discussions, and negotiations.
- Business partnerships Example: A founder secures a strategic partnership with another company that consistently brings projects or paying customers into the business.
- Revenue generation Example: A founder launches a campaign, referral system, or outbound initiative that directly generates new paying revenue for the company.
- Strategic introductions leading to revenue Example: A founder introduces the company to a decision-maker or investor network that later converts into a paid client or long-term business relationship.
- Expansion opportunities Example: A founder helps expand an existing client account from ₹5,00,000 to ₹25,00,000 by identifying additional services, departments, or growth opportunities within the same client organization

Phase-Wise Sales Weightage

The company applies different weightage percentages depending on the project phase and business maturity.

Project Phase	Sales Weightage
First 12 Months	10%
After 12 Months	5%

This means early-stage sales contributions receive higher value recognition.

Sales Contribution Example

Scenario

- Project Revenue Closed = ₹10,00,000
- Project is within first 12 months

Step 1 — Apply Phase Weightage

Effective Contribution Value = ₹10,00,000 × 10%
= ₹1,00,000

Step 2 — Founder Allocation

Founder Contribution Value = ₹1,00,000 × 100%
= ₹100,000

Step 3 — Convert Into Contribution Hours

The system uses a standard notional rate and weightage 4(Sprout):

₹1,500 = 1 Contribution Hour Unit

$(₹10,0000 \times 4) / ₹1,500 = 267$ Contribution Hours

This sales contribution then becomes part of the founder's total participation value.

4. Founder Payouts

The company supports founder payouts based on active work contributions and company performance.

There are two primary payout categories:

Hourly / Work-Based Payouts

Founders may receive payouts based on approved work contributions.

This applies to:

- Active execution work
- Operational delivery
- Product or service work

- Approved contribution periods

Example

- Founder Hours = 120
- Hourly Rate = ₹1,500 (Notional)
- Hourly Rate = ₹400 (Actual)

$$\text{Payout Amount (Actual)} = 120 \times ₹400 \\ = ₹4,80,000$$

$$\text{Payout Amount (Notional)} = 120 \times ₹1,500 \\ = ₹1,80,000$$

Profit Share Payouts

Profit-sharing distributions may be issued based on recorded founder equity participation.

Profit-sharing is tied to:

- Company profitability
- Founder equity participation
- Approved payout distributions

Example Profit Distribution

Assume:

- Total Profit Distributed = ₹12,00,000

Founder	Equity %	Profit Share
Founder A	50%	₹6,00,000
Founder B	30%	₹3,60,000
Founder C	20%	₹2,40,000

Formula

$$\text{Founder Profit Share} = \text{Total Profit Pool} \times \text{Founder Equity \%}$$

Important Equity Rule

Founder Withdrawal Impacts Equity

If a founder individually withdraws company value or compensation outside of mutually approved profit distributions, their equity participation may be adjusted accordingly.

This ensures fairness across all founders and protects long-term contribution balance.

Mutually Approved Profit Distribution Does NOT Impact Equity

If all founders mutually agree to distribute company profits:

- The distribution is treated as profit sharing.
- Equity ownership remains unchanged.
- Founder participation percentages stay intact.

Example:

If ₹20,00,000 profit is distributed proportionally across founders based on contribution or equity participation, no founder loses equity because the payout is considered a shared company profit distribution.

5. Deferred Compensation

Founders may choose to defer certain payouts(max 25% of Payout) toward long-term company participation.

This allows founders to:

- Prioritize company growth
- Reduce short-term cash withdrawals
- Increase long-term founder alignment

Deferred contributions remain part of founder records.

6. Founder Dashboard Visibility

Each founder has access to a private founder dashboard showing:

- Contribution activity
- Hours contributed
- Sales contribution impact
- Equity participation
- Revenue participation
- Payout history
- Remaining founder balance

This ensures transparency and alignment across the founding team.

7. Revenue & Company Growth

The company tracks:

- Revenue generated
- Expenses
- Net business performance
- Project growth
- Sales pipeline

Founder contribution participation grows alongside company growth and project success.

8. Transparency & Fairness

The contribution and equity system is designed around:

- Transparency
- Accountability
- Merit-based participation
- Founder alignment
- Long-term value creation

All founder contributions are intended to be visible, measurable, and fairly recognized.

9. Key Principles

Active Contribution Matters

Founders who actively contribute to company growth receive greater participation value.

Sales Contribution Counts

Generating business and revenue is treated as a major contribution category.

Long-Term Alignment

The system is designed to reward sustained contribution and long-term commitment.

Shared Visibility

Founders can understand how participation and contribution value are determined.

Understanding Actual vs Notional Value

The company uses two different financial concepts:

Type	Meaning
Actual Value	Real cash paid or received by the founder
Notional Value	Internal participation value used for contribution, equity, and long-term founder accounting

Actual Value

Actual value represents:

- Real salary paid
- Real payouts
- Real cash distributions
- Real money withdrawn from the company

Example:

Founder Actual Hourly Rate = ₹400/hour
120 Hours Worked
Actual Payout = $120 \times ₹400 = ₹48,000$

Notional Value

Notional value is an internal founder accounting system used to measure contribution participation.

The company uses:

₹1,500 = 1 Notional Contribution Hour

Notional value is used for:

- Equity participation
- Founder contribution comparison
- Long-term founder value tracking
- Profit participation calculations

Example

120 Hours $\times$ ₹1,500 = ₹1,80,000 Notional Contribution Value

This does not mean the founder receives ₹1,80,000 in cash immediately.

It means the founder generated ₹1,80,000 worth of founder participation value.

Sprout Phase & Notional Conversion

The company operates in growth phases.

Sprout Phase

The Sprout Phase represents the early-stage company growth period.

Sprout Revenue Target

₹15,00,000 Monthly Revenue

During this phase:

- Founders may receive lower actual payouts

- Contributions are heavily tracked using notional value
- Sales contributions receive higher multipliers
- Deferred compensation receives additional weightage (Mostly Interest 7% Yearly)
- The focus is on company growth and long-term founder alignment

Once the company consistently crosses:

₹15,00,000+ Monthly Revenue

The company can begin:

- Increasing actual founder payouts
- Distributing part of notional participation value
- Expanding profit-share structures
- Improving founder compensation stability

Company Growth Phase Table

Phase	Revenue Range	Sales Weightage Multiplier	Equity Pool
Sprout Phase	Up to ₹15 Lakh/month	4X	1500 Units
Survival Phase	Up to ₹50 Lakh/month	3X	1500 Units
Growth Phase	Up to ₹1 Crore/month	2X	1500 Units
Mature Phase	Up to ₹5 Crore/month	1X	1500 Units
Giant Phase	Above ₹10 Crore/month	Strategic Review	2000 Units

Phase-Wise Founder Logic

Sprout Phase

- Aggressive founder contribution recognition
- High sales contribution multiplier
- Heavy notional participation tracking
- Deferred contributions rewarded
- Focus on long-term company building

Survival Phase

- Business stability becomes important
- Contribution scaling becomes more balanced
- Controlled founder payouts begin

Growth Phase

- Profitability and scale become priorities
- Founder systems mature
- Larger operational structure develops

Mature Phase

- Stable compensation structures
- Lower contribution multipliers
- Stronger operational governance

Giant Phase

- Enterprise-style governance
- Strategic founder compensation systems
- External advisory and financial structuring

10. Founder Rules Summary Table

Area	Rule	Impact
Time Contribution	Active founder work contributes toward equity and payouts	Increases founder participation
Cash Contribution	Direct funding or expense support counts as contribution	Increases founder contribution value
Other Contribution	Strategic, advisory, partnership, or network contributions are recognized	Adds participation value
Sales Contribution (First 12 Months)	10% of revenue value is considered for contribution calculation	Higher early-stage sales reward
Sales Contribution (After 12 Months)	5% of revenue value is considered for contribution calculation	Standard mature-stage reward
Sales Notional Multiplier	Early sales contribution receives 4X notional contribution recognition	Increases contribution hours and equity participation
Contribution Hour Conversion	₹1,500 notional value = 1 contribution hour unit	Standardized participation metric
Hourly Founder Payout	Actual payout based on approved hourly rate	Founder compensation
Notional Founder Value	Internal participation value calculated at ₹1,500/hour	Used for contribution and equity calculations
Deferred Compensation	Deferred founder payouts remain recorded and receive 7% Yearly Interest	Encourages long-term alignment
Individual Founder Withdrawal	Personal withdrawals outside agreed distributions may impact equity	Maintains founder fairness

Area	Rule	Impact
Mutually Approved Profit Distribution	Shared profit distributions do not impact founder equity	Equity remains unchanged
Profit Share Distribution	Profit is distributed based on founder equity participation	Shared company upside
Equity Participation	Equity adjusts based on measurable contribution participation	Dynamic founder ownership model
Dashboard Transparency	All founders can view contribution and participation records	Transparency and accountability

11. Example Combined Founder Calculation

Scenario

Founder	Time Hours	Sales Contribution
Founder A	400	₹10,00,000 Revenue Closed
Founder B	300	₹0
Founder C	200	₹5,00,000 Revenue Closed

Step 1 — Sales Contribution Weightage

Founder A

$₹10,00,000 \times 10\% = ₹1,00,000$
 $₹1,00,000 \times 4 = ₹4,00,000$ Notional Contribution
 $₹4,00,000 / ₹1,500 = 267$ Contribution Hours

Founder C

$₹5,00,000 \times 10\% = ₹50,000$
 $₹50,000 \times 4 = ₹2,00,000$ Notional Contribution
 $₹2,00,000 / ₹1,500 = 133$ Contribution Hours

Step 2 — Deferred Compensation Multiplier

Deferred compensation receives 7% interest on participation value.

Founder A

$₹2,00,000 (₹2,00,000 \times 7\%) = ₹2,14,000$ Contribution Value

Founder C

$₹1,00,000 (₹1,00,000 \times 7\%) = ₹1,07,000$ Contribution Value

Step 3 — Total Founder Contribution Hours

Founder	Base Hours	Sales Hours	Total Hours
Founder A	400	267	667
Founder B	300	0	300
Founder C	200	133	333

Total Company Hours

667 + 300 + 333 = 1,300 Hours

Step 4 — Final Equity Participation

Founder	Total Hours	Equity %
Founder A	834	51.3%
Founder B	300	23.0%
Founder C	416	25.6%

Formula:

Founder Equity % = Founder Total Hours / Total Company Hours

Step 5 — Profit Distribution Example (Contribution pay out)

Assume:

We decided to distribute 10,00,000 against Contribution during running Sprout Phase

Founder	Base Hours	Sales		Total Hours	Pay Out Hours	Pay Out Sales	Total
Founder A	400	1000000		400	400x400=160000	1000000 x 10%=100000	260000
Founder B	300	0		300	300x400=120000	0	120000
Founder C	200	500000		200	200x400=80000	500000 x 10%=50000	130000

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If the total available amount in the founder participation or payout pool is lower than the total accumulated founder contribution value, the available amount shall be distributed proportionally based on each founder's relative contribution participation. Each founder will receive a percentage of the available pool corresponding to their share of the total eligible contribution value.

Step 6 — Profit Distribution Example (Equity linked Payout)

Assume:

Company Profit Distributed = ₹20,00,000

Founder	Equity %	Profit Distribution
Founder A	53.8%	₹ 1026154
Founder B	19.4%	₹ 461538
Founder C	26.8%	₹ 512307

This mutually approved profit distribution does not impact founder equity ownership.

12. Inactive Founder & Exit Clause

A founder or partner is expected to maintain active participation in the company through meaningful operational, strategic, sales, technical, management, or business-building contributions. To ensure fairness, accountability, and long-term founder alignment, the company maintains a minimum participation requirement for all active founders.

A founder shall be classified as an “Inactive Founder” if their recorded contribution falls below 180 contribution hours during any continuous 180-day period, unless otherwise due to exceptional circumstances, temporary leave, health conditions, or mutually agreed strategic roles.

Upon being classified as inactive:

- The founder’s active participation status shall be paused,
- Future contribution accumulation may be suspended,
- 25% of the founder’s accumulated dynamic participation equity, contribution participation value, and notional participation income may be forfeited, adjusted, or returned to the company participation pool.

If inactivity continues for an additional consecutive 180-day period:

- An additional 25% reduction may be applied,
- The company and active founders may further review the founder’s participation rights, incentive allocations, operational responsibilities, and long-term involvement in the business.

This clause applies specifically to dynamic founder participation systems, contribution-based allocations, and internal participation accounting structures, and does not automatically override legally vested ownership governed by formal shareholder agreements unless otherwise agreed.

If a founder wishes to voluntarily exit the company, their remaining equity participation, contribution value, deferred participation rights, payouts, and any associated founder benefits shall be reviewed, discussed, and negotiated in good faith with the remaining active founders. Final settlement terms, buyback structure, valuation methodology, transition obligations, confidentiality responsibilities, and future participation rights shall be mutually agreed upon at the time of exit.

13. Final Notes

This framework is intended to:

- Create fairness among founders
- Encourage active participation
- Reward company-building efforts
- Align founders toward long-term success
- Maintain operational transparency

As the company evolves, contribution and equity policies may continue to improve to better support founder alignment and sustainable growth.
